

Responsible Borrowing Election Form - AY4

Required fields are marked with an *

Student Name: ronald Parkhurst-Swithenbank
Student ID: 29055085

Colorado Technical University would like to inform you of an important option regarding your Federal Student Aid award. In accordance with the laws and regulations established by Higher Education Act of 1965, as amended, students may borrow Federal Direct loan proceeds beyond tuition and fees, for those who qualify. These loan funds, if available, may not exceed a student's annual award limit or the estimated cost of attendance for the academic year (whichever is less). In no case may the annual award exceed the maximum loan limits established by law; loan limits can be found on the Department of Education website <https://studentaid.gov/>.

It's important for students to understand all the terms of their loans and their repayment responsibilities before they borrow. Student loans are nearly impossible to discharge in bankruptcy, so the student loan choices made today could impact borrowers for the rest of their lives. We cannot, and do not, provide you with advice concerning your current or future ability to repay any loans that you obtain for the purpose of attending school or any impact financial aid may have on your personal taxes. You must determine for yourself whether the loans will assist you in meeting your goals and whether you will be able to repay any federal, state and/or private student loans or the impact of any financial aid on your personal taxes when those loans become due.

Please select one of the following options:

- ☐ I authorize **Colorado Technical University** to reduce my total Federal Direct loans and borrow only loan funds needed for (no greater than) my remaining direct cost for each academic year of the program; that is, tuition, fees and other educationally related charges minus other aid I may be eligible to receive.
- ☐ I authorize **Colorado Technical University** to reduce my total Federal Direct loans to the amount of ;
not to exceed the maximum amount available to me; up to the annual award limit, based on eligibility. The amount I am selecting is only for my current academic year; I will complete a new form for my subsequent academic year.
- ☒ I do not authorize **Colorado Technical University** to reduce my Federal Direct loans and I want to borrow the maximum loan funds available to me; up to the annual award eligibility, based on eligibility limits.*

*Students who DO NOT authorize reduction of their loan will be awarded up to their full eligibility as stipulated by the Federal Direct Loan program and in the event funds exceed direct costs they will be handled in accordance with the student's completed Authorization to Retain Funds, as well as applicable published institutional policy.

Important Information Regarding Typical Loan Repayment Obligations:

The interest rate on Federal Student Loans varies depending on the loan type and the first disbursement date of the loan. The current interest rates for Direct Subsidized and Direct Unsubsidized Loans can be found at <https://studentaid.gov/understand-aid/types/loans/interest-rates>.

The total amount you need to repay on your student loan includes the amount borrowed and the accrued interest on the loan. For example, on a \$10,000 Direct Unsubsidized Loan with a 6.8% interest rate, the amount of interest that accrues per day is \$1.86. Assuming you are repaying your loan under the Standard Repayment Plan, your monthly payment would be \$115. If it has been 30 days since your last payment and there was no other interest outstanding when you made your last payment, \$55.80 in interest will have accrued. Subtracting this amount from \$115 results in a total of \$59.20, which is the amount of your payment that would be applied to your outstanding principal balance of \$10,000.

Note: You have the right to change this request (ask for an increase up to the full amount you are eligible to receive, cancel all or reduce any part of the scheduled loan(s)) at any time. Upon changing the loan selection, only future disbursements will be modified.

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Student Signature

5/9/2024
Date

ronald Parkhurst-Swithenbank
Student Name

29055085
Student ID